

This sentiment for investing in crypto is despite the lack of clear regulations. As per a recent report by blockchain analysis firm Chainalysis, India is number one in crypto adoption. Though there is no precise estimate of the number of users, the popularity of crypto is unabated.

Singhal says younger investors, in particular, are comfortable with digital-first financial products and see crypto as an avenue to participate in a global, technology-led economy. “We are seeing investors becoming more informed and diversified in how they approach the asset class. Beyond returns, factors such as growing institutional participation, improving compliance standards and greater regulatory clarity are helping build confidence,” he says.

Asset diversification is another reason Indian investors are choosing crypto, says Gupta of Mudrex. “It is not only the returns, which can be widely volatile, but the technology as well, which is of value, and should be the main reason for investing,” says an established blockchain validator and DeFi (decentralised finance) investor who goes by the username Fiery Dev.

But he warns that it can be a difficult journey and expecting huge returns every day will lead to pain. Unlike stock markets, the crypto market is unregulated. There are no circuit breakers and no preventive measures against market manipulation, he says.

Should India frame detailed regulations for investor safety, as many countries have done?

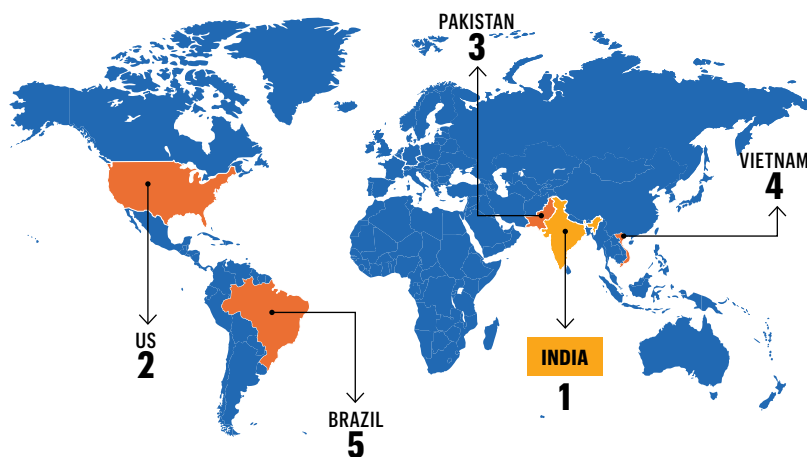
LONG, TRICKY ROAD

It's not easy to invest in cryptocurrencies in India even though there is no formal ban. In March 2020, the Supreme Court struck down a 2018 circular by the Reserve Bank

THE BOOM

India is the top crypto adopting country, followed by the US

OVERALL INDEX RANKING



SOURCE THE 2025 GEOGRAPHY OF CRYPTO REPORT BY CHAINALYSIS

of India (RBI) that prohibited regulated entities from dealing in virtual currencies or providing services for facilitating any person or entity in dealing with or settling these. In effect, the Supreme Court ruling allowed banks and financial institutions to process such transactions.

With cryptocurrencies, especially Bitcoin, seeing huge demand globally, India, too, followed. Several exchanges set up shop and thousands of investors started investing. The Covid-19 pandemic saw a further increase in investment but investor interest started waning with security concerns at several exchanges as well as a sharp fall in the value of most cryptocurrencies in 2022. Several use cases,

including the much-touted non-fungible tokens (NFTs), also did not meet expectations.

In India, too, the concerns continued to mount. The RBI has made it clear that it remains opposed to virtual assets due to concerns over financial stability. There are also worries about the notional value of the technology. R. Gandhi, former RBI deputy governor, says concerns are about crypto being a liquidity source that is uncontrollable, unmeasurable, and lacking transparency and accountability.

To give a more stable alternative to users, the RBI launched the Central Bank Digital Currency (CBDC), popularly known as the Digital Rupee, in 2022, based on